

account, you had zero income, can't pay your bills, and you need 70% trading gains to get your target US\$50,000.

When you trade your own money for a living, you will be forced to take on too high risk. You will be taking all the risk and you will be giving up most of the upside by taking out a salary. No, take my word for it, trading your own money for a living does not make sense. I would even argue that making the decision to trade your own money for a living is in itself, a bad trade, and it makes you a bad trader by definition.

■ Trading OPM

If you want to be a professional trader and if you have accepted that trading your own money for a living isn't the answer, then you need to look at trading other people's money (OPM) for a living. You can throw in your own as well, nothing wrong with that. Trade your own money while you're at it, but your main income will come from trading other people's money (OPM).

Don't fall into some sort of thought trap of believing that it's somehow brave to trade your own money and cowardly to trade others. This is finance. We're not out to prove something to ourselves or to others, we're in and out for a buck and we don't take prisoners. This is all a numbers game, and specifically about number of dollars.

Go back to the example of the previous section. You've done your research, you're happy with your trading strategy and you've got US\$100,000 to trade. But this time, you clever up and rather than just deploying your own money, you decide to go on a fund-raising spree until you manage to raise US\$10 million of other people's money. That means convincing others to trust you and your trading approach, and allow you to trade their money along with your own, for a fee.

And there is, of course, the key to this little equation, the word "fee". You now get a basic income just from fees, which means that you can trade more responsibly, instead of aiming for unrealistic returns. Setting trading targets too high means taking too much risk, and taking too much risk means that you'll blow up sooner or later. No need for such irresponsible risks any more, not with the fees.

Let's say you get a fee structure of 1+10 from your investors. That means that you get a 1% management fee, for showing up and turning on the lights, and you get to keep 10% of the profits you generate for your clients. It's a fair deal.